Task2

Values Audit:

1.What is your company's mission statement?

The company's primary mission is to help cross-border financial institutions transform their credit scoring models into "explainable, auditable, comparable, and correctable" tools, thereby reducing real compliance risks.

The company's core values are: Honesty—tools must clearly present their function and be fair to consumers; Accountability—any judgment should be traceable to specific rules, parameters, and responsible parties; Risk-oriented—prioritizing the identification of real risks that could harm consumer, institutional, and market trust; and Cross-jurisdictional adaptability—acknowledging and adapting to the different requirements of various countries and regions regarding fairness, explanation, transparency, and governance responsibility.

The company's role is to integrate existing credit scoring models with a set of rules and monitoring layers, enabling banks to output different governance outcomes based on the requirements of different jurisdictions.

In terms of positioning, the company is of medium size, targeting medium to large-sized banks, digital financial platforms, and fintech companies requiring cross-border operations, such as financial institutions like Goldman Sachs. These clients have both complex compliance pain points and genuine payment capabilities.

2.Whose perspective does your tool serve?

The primary clients for this tool are compliance officers and other paying customers, as they need to demonstrate the correctness of procedures to internal management and external regulators, and directly face issues such as regulatory interpretation, internal accountability, and cross-jurisdictional implementation. However, if the tool is only for these paying clients, it risks becoming merely a documentation system to help organizations "package compliance."

Therefore, the tool design must also consider both consumers and regulators. Regulators are concerned with whether the tool truly identifies risks, avoids misleading information, and mitigates liability. Consumers are concerned with whether they are treated fairly and whether they have an opportunity to rectify unfair treatment. While prioritizing "paying customers" in the purchase order, this tool places "consumer explainability" and "regulatory accountability" at the forefront of its product objectives, truly acknowledging real risks, uncertainties, and potential harm.

3.Is your tool measuring genuine risk or documenting compliance?

The primary goal is to measure genuine risk, not just record formal compliance behavior. The most significant design element is the addition of local interpretability and loan rejection reason tracking functionality to the code. The project also introduces individual-level eigenvalue analysis charts. This non-mandatory feature allows for in-depth analysis of the underlying drivers behind the model's loan rejection decisions for specific clients. If the goal is merely "Documenting compliance," the tool only needs to output pass or fail results to satisfy regulatory scrutiny. However, even if global metrics are met, the model may still exhibit unfair bias towards certain individuals through potential proxy variables. By introducing individual-level eigenvalue analysis, the tool can delve into the true motivations behind the model's decisions in individual cases. This feature not only helps institutions uncover the real model risks hidden behind macro-level indicators but also provides substantive explanations for rejected clients, going beyond mere compliance statements on paper.

4.Who bears the cost if your tool gets it wrong?

A false positive occurs when a model that doesn't inherently pose a risk is misjudged as high-risk. The first to be affected are banks and some borrowers, as institutions may streamline processes for "security," preventing some eligible consumers from obtaining credit lines and increasing bank costs. A false negative occurs when the tool fails to identify genuine flaws; in this case, consumers, especially those wrongly granted lower credit limits, bear the greatest burden. Performance drift means the system continues to operate as a stable system after data changes, leading to the systematic underestimation or overestimation of certain groups. This is particularly harmful to financial institutions and undervalued borrowers. Jurisdiction misconfiguration means the same model is incorrectly applied to rules of the wrong jurisdiction, such as using EU policies in the US. This type of error ultimately harms consumers, compliance teams, boards of directors, and the institution's reputation.